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Legal Due Diligence Summary

Acme Cloud Solutions, Inc.

Prepared by: Sterling & Associates LLP

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1. Corporate Structure & Governance

Acme Cloud Solutions, Inc. is a Delaware C-Corporation incorporated on March 12, 2014. The Company has two classes of stock: Common Stock (10,000,000 shares authorized, 6,800,000 issued) and Series A Preferred Stock (2,000,000 shares authorized, 1,500,000 issued). Preferred holders have standard protective provisions including board seat rights, anti-dilution protection, and liquidation preference of 1x non-participating.

Board Composition: 5 directors — 2 founder seats, 2 investor seats (Highland Ventures), 1 independent director (appointed 2023). Quorum requires 3 directors. Change of control requires approval of 2/3 of common shares and majority of preferred shares.

2. Material Contracts

The following contracts are considered material:

Contract	Counterparty	Annual Value	Term	CoC Provision
Master Sub Agreement	AWS (hosting)	\$3.4M	3yr (exp 2026)	None; standard ToS
Enterprise License	Microsoft 365	\$420K	Annual	None
Channel Partner	Deloitte Consulting	\$2.1M sourced	2yr (exp 2025)	30-day notice
Office Lease	WeWork Austin	\$680K	3yr (exp 2027)	Assignable with consent
Credit Facility	Silicon Valley Bank	\$10M revolver	2yr (exp 2025)	Acceleration clause
IP License	Stanford University	\$85K/yr	Perpetual	None

3. Litigation & Disputes

3.1 Active Litigation

Acme Cloud Solutions v. DataSync Corp. (Case No. 2024-CV-03847, Travis County District Court): Patent infringement claim filed by Acme in August 2024 alleging DataSync's 'CloudBridge' product infringes U.S. Patent No. 10,892,441 covering Acme's real-time data synchronization method. Case is in discovery phase. Estimated legal costs through trial: \$800K-\$1.2M. Management believes the claim is strong based on prior art analysis.

3.2 Settled Matters

Former Employee Wrongful Termination (Jane Doe v. Acme, settled December 2023): Former VP of Marketing alleged wrongful termination and breach of employment agreement. Settled for \$340K (included in FY2024 one-time adjustments). Release and non-disparagement agreement executed. No admission of liability.

3.3 Threatened Claims

Demand letter received from Oracle Corporation (November 2024) alleging potential trade secret misappropriation related to two engineers hired from Oracle's cloud division in 2023. Outside counsel has reviewed and believes the claim lacks merit — both employees had standard (not enhanced) non-compete agreements that expired prior to joining Acme. No lawsuit has been filed. Estimated contingent liability: \$0 (low probability of adverse outcome).

4. Intellectual Property

IP Portfolio Summary:

- 6 issued U.S. utility patents (data sync, multi-tenant architecture, predictive scheduling)
- 3 pending patent applications (AI forecasting, workflow automation, edge computing)
- 12 registered trademarks (Acme Cloud, CloudERP, AcmePlan, etc.)
- All IP is owned by the Company (no individual inventor assignments outstanding)
- Stanford University perpetual license for foundational ML algorithms (\$85K/yr royalty)
- Open source audit: 142 OSS components used; 8 flagged as copyleft (GPL) — engineering team has isolated these from proprietary code. No contamination risk identified.

5. Data Privacy & Cybersecurity

Regulatory Compliance Status:

- SOC 2 Type II certified (renewed August 2024, no material findings)
- GDPR: Currently non-compliant (no EU customers; compliance required pre-expansion)
- CCPA: Compliant; privacy policy updated Q1 2024
- HIPAA: Not applicable (no healthcare data processed)
- Data breach history: One incident in March 2023 — unauthorized access to staging environment (non-production). No customer data exposed. Root cause: misconfigured IAM role. Remediated within 4 hours. Incident reported to affected parties per policy.
- Penetration testing: Annual third-party pen test by CrowdStrike. Most recent (October 2024) identified 2 medium-severity findings, both remediated within 30 days.
- Cyber insurance: \$10M aggregate policy with Chubb (premium: \$48K/yr)

6. Employment & Labor Matters

Key employment observations:

- 320 total employees (280 full-time, 40 contractors)
- No collective bargaining agreements or union representation
- All employees have signed invention assignment and confidentiality agreements
- Non-compete agreements: CEO, CTO, CFO, VP Sales (12-month post-termination, enforceable in Texas per 2024 reform)
- Stock option pool: 15% of fully diluted shares (2,400,000 options), 1,680,000 vested, 720,000 unvested
- Change of control acceleration: 50% of unvested options accelerate on single-trigger; remaining 50% on double-trigger (termination within 12 months)
- Estimated cost of option acceleration at \$252M EV: \$18.2M (single-trigger) plus up to \$18.2M (double-trigger if applicable)
- WARN Act: No facility closures or mass layoffs planned
- I-9 Compliance: 28 employees on H-1B visas (engineering); all current

7. Regulatory & Environmental

The Company operates in a lightly regulated industry (enterprise software). Key regulatory observations:

- No industry-specific regulatory licenses required
- Export controls: ITAR not applicable; EAR classification is EAR99 (unrestricted)
- Anti-bribery/FCPA: No international operations; no government customers; anti-corruption policy adopted 2022
- Environmental: Office-only operations; no manufacturing. No environmental liabilities identified.
- Tax compliance: State nexus issue identified in 3 states (see QoE report Section 6)